Monthly Financial Report

Midwest Mechanical Contractors LLC

For the Period Ended March 31, 2026

Prepared by John Smith, CPA

Smith & Associates CPAs

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March 31, 2026

Re: Midwest Mechanical Contractors LLC — March 2026 Financial Review

Revenue came in at $1.85M for March, ahead of budget by about $100K. The two large HVAC retrofit projects drove the upside, both tracking on schedule and on margin. Year-to-date revenue of $4.9M puts you at 27% of the annual target, right where you should be at the end of Q1.

Gross margin held at 31.8%, slightly above the 30% budget. Material costs are running a bit high on the downtown office project due to the copper price spike, but labor efficiency on the hospital wing project is offsetting it. We'll want to watch material costs closely in April.

Payroll is the big line item to discuss. The two new field supervisors pushed total payroll to $412K for the month, $40K over budget. This was planned -- you approved the hires in February -- but the budget wasn't updated to reflect it. I'd recommend we reforecast the annual budget to capture these additions.

Cash position is strong at $485K, up from $380K last month. The hospital progress billing came in on time, which helped. AR aging is clean -- nothing over 60 days. AP is current.

Two items for you before our next call: (1) sign off on the Q1 estimated tax payment, and (2) review the proposed change order on the downtown office project before we submit it.

Regards,

John Smith, CPA

Smith & Associates CPAs

01

Profit & Loss Summary

For the Period Ended March 31, 2026 | Fiscal Year 2026

	MTD Actual	MTD Budget	MTD Var.	YTD Actual	YTD Budget	YTD Var.
HVAC Installation	$1,120,000	$1,000,000	$120,000	$2,950,000	$2,800,000	$150,000
Service & Maintenance	$480,000	$500,000	($20,000)	$1,350,000	$1,400,000	($50,000)
Controls & Automation	$250,000	$250,000	--	$600,000	$650,000	($50,000)
Total Revenue	**$1,850,000**	**$1,750,000**	**$100,000**	**$4,900,000**	**$4,850,000**	**$50,000**
Materials	$520,000	$490,000	$30,000	$1,380,000	$1,350,000	$30,000
Direct Labor	$385,000	$380,000	$5,000	$1,050,000	$1,060,000	($10,000)
Subcontractor Costs	$210,000	$225,000	($15,000)	$580,000	$625,000	($45,000)
Equipment Rental	$48,000	$30,000	$18,000	$115,000	$80,000	$35,000
Total COGS	**$1,163,000**	**$1,125,000**	**$38,000**	**$3,125,000**	**$3,115,000**	**$10,000**
Gross Profit	**$687,000**	**$625,000**	**$62,000**	**$1,775,000**	**$1,735,000**	**$40,000**
Gross Margin %	37.1%	35.7%	--	36.2%	35.8%	--
OPERATING EXPENSES						
Payroll & Benefits	$412,000	$372,000	$40,000	$1,125,000	$1,090,000	$35,000
Rent & Utilities	$28,000	$28,000	--	$84,000	$84,000	--
Insurance	$35,000	$35,000	--	$105,000	$105,000	--
Vehicle & Fuel	$22,000	$18,000	$4,000	$62,000	$54,000	$8,000
Office & Admin	$15,000	$12,000	$3,000	$41,000	$36,000	$5,000
Professional Services	$8,000	$10,000	($2,000)	$28,000	$30,000	($2,000)
Depreciation	$18,000	$18,000	--	$54,000	$54,000	--
Total Operating Expenses	**$538,000**	**$493,000**	**$45,000**	**$1,499,000**	**$1,453,000**	**$46,000**
Operating Income	**$149,000**	**$132,000**	**$17,000**	**$276,000**	**$282,000**	**($6,000)**

	MTD Actual	MTD Budget	MTD Var.	YTD Actual	YTD Budget	YTD Var.
Interest Income	$1,200	$800	$400	$3,200	$2,400	$800
Interest Expense	($4,500)	($4,500)	--	($13,500)	($13,500)	--
Net Income	**$145,700**	**$128,300**	**$17,400**	**$265,700**	**$270,900**	**($5,200)**

02

Balance Sheet Summary

As of March 31, 2026

	Current	Prior Month	Change
CURRENT ASSETS			
Cash & Cash Equivalents	$485,000	$380,000	$105,000
Accounts Receivable	$920,000	$875,000	$45,000
Retainage Receivable	$145,000	$130,000	$15,000
Inventory (Materials)	$68,000	$72,000	($4,000)
Prepaid Expenses	$42,000	$45,000	($3,000)
Total Current Assets	**$1,660,000**	**$1,502,000**	**$158,000**
FIXED ASSETS			
Vehicles & Equipment	$680,000	$680,000	- -
Accumulated Depreciation	($285,000)	($267,000)	($18,000)
Tools & Small Equipment	$95,000	$92,000	$3,000
Total Fixed Assets	**$490,000**	**$505,000**	**($15,000)**
TOTAL ASSETS	**$2,150,000**	**$2,007,000**	**$143,000**
CURRENT LIABILITIES			
Accounts Payable	$425,000	$390,000	$35,000
Accrued Payroll	$185,000	$178,000	$7,000
Current Portion - LT Debt	$48,000	$48,000	- -
Sales Tax Payable	$12,000	$9,000	$3,000
Total Current Liabilities	**$670,000**	**$625,000**	**$45,000**
LONG-TERM LIABILITIES			
Equipment Loan	$220,000	$224,000	($4,000)
Vehicle Notes	$145,000	$148,000	($3,000)
EQUITY			
Owner's Equity	$850,000	$850,000	- -
Retained Earnings	$165,000	$165,000	- -
Current Year Earnings	$95,000	$42,000	$53,000
Total Equity	**$1,110,000**	**$1,057,000**	**$53,000**
TOTAL LIABILITIES & EQUITY	**$2,145,000**	**$2,054,000**	**$91,000**

Balance Sheet Check: OUT OF BALANCE (Assets: $2,150,000 | L+E: $2,145,000)

03

Key Metrics

Key performance indicators for March 2026.

GROSS MARGIN

31.8%

vs. 30.0% budget, 29.5% prior month

CASH POSITION

$485K

Up $105K from prior month

DAYS SALES OUTSTANDING

42 days

vs. 45 days prior month, 50 day target

REVENUE VS. BUDGET (YTD)

101.2%

$4.9M actual vs. $4.85M budget

PAYROLL AS % OF REVENUE

22.3%

vs. 21.3% budget -- new hires not yet in budget

BACKLOG

$3.2M

Down from $3.8M -- need new project wins in Q2

04

Action Items

Items requiring your attention before the next reporting period.

1. **Sign off on Q1 estimated tax payment -- voucher attached separately** Due: April 15
2. **Review and approve the proposed change order on the Downtown Office HVAC project ($28K scope addition)** Due: April 10
3. **Provide updated project completion estimates for the May WIP schedule** Due: April 25
4. **Confirm whether the new service truck purchase is still planned for Q2 (impacts cash forecast)** Due: Next meeting

NEXT STEPS

Let's schedule a 30-minute call the week of April 7 to review Q1 results and discuss the annual budget reforecast for the new hires.